

These are the rules every TST student implements before touching live capital. They are not suggestions or guidelines to follow when convenient. They are non-negotiable standards that separate traders who survive long enough to become profitable from those who do not. Print this page. Put it next to your screen. Read it before every session until following these rules is completely automatic.

RISK RULES — PROTECT THE ACCOUNT FIRST

- Never risk more than 1% of your total account balance on any single trade, regardless of how confident you feel.
- Set a daily maximum loss of 3% of your account. The moment you reach it, stop trading for the remainder of the day.
- Calculate your exact position size using the position sizing formula before every entry. Never after.
- Never move your stop loss further from your entry point to avoid booking a loss. Not once. Not ever.
- Never add to a losing position. Your stop defines when you are wrong — when wrong, you exit.

ENTRY RULES — ONLY HIGH-QUALITY SETUPS

- Every trade must have a clearly defined entry trigger, stop loss level, and price target identified before you enter.
- For gap and go setups, require a clear catalyst. No news means low follow-through — do not trade random gaps.
- Do not enter breakout trades without volume confirmation. A breakout on low volume is likely to fail.
- Do not enter a trade in the first 5 minutes of the session unless you have a specific pre-planned reason.
- Never chase a stock that has already moved significantly. Define your level and wait for the stock to come to you.

EXIT RULES — MANAGE THE TRADE ACTIVELY

- Sell into strength. Take partial profits at your first target — do not hold 100% hoping for a larger move.
- Never hold a losing trade past your predetermined stop loss hoping it will come back.
- Trail your stop on winning trades as they move in your direction — protect your accumulated profit.
- Use a partial exit strategy: take 50% off at your first target, trail the remainder with a tightened stop.
- If a trade is not working within the timeframe you expected when you entered, re-evaluate and consider exiting.

BEHAVIORAL RULES — CONTROL THE PROCESS

- Do not trade when you are angry, emotionally reactive, fatigued, distracted, or under significant personal stress.
- No revenge trading under any circumstances. A loss is information and data — not an injustice to be corrected immediately.
- Review and journal every trade every week. Your journal is the single most powerful tool for improving your trading.
- Trade your defined plan — not your real-time emotions. If the plan says exit, exit. Do not negotiate with yourself.
- One bad trading day does not define your performance. Consistent execution over months defines your performance.

DAILY SELF-EVALUATION — COMPLETE AFTER EVERY TRADING SESSION

Rate yourself honestly. A No answer requires a written explanation of what happened and what you will do differently.

RULE	DID I FOLLOW IT?	IF NO — WHAT HAPPENED?
Stayed within 1% risk per trade on every position	Yes / No	
Honored my 3% daily max loss limit	Yes / No	
Had entry, stop, and target defined before every trade	Yes / No	
Did not move any stop loss to avoid a loss	Yes / No	
Did not chase or take revenge trades	Yes / No	
Exited losing trades at or before my stop	Yes / No	
Took at least partial profits at my first target on winners	Yes / No	
Reviewed and journaled all trades at end of session	Yes / No	

TST CORE PRINCIPLE

The rules that are hardest to follow in the moment are the ones that matter most. Anyone can follow the rules when trades are going well. The defining characteristic of a disciplined trader is following them when losing, when frustrated, and when breaking the rule feels completely justified. The rule always matters more than the justification for breaking it.

The TST Academy course covers every rule in full detail — the reasoning behind each one and how to build it into your daily routine at topstocktrading.com